

Big Tech | AI Data Centres in Alberta

Category: Ontario MPAC Shell vs. Contents & Canadian Taxation | Evidence
ID: #123

Archived: 2026-10-04 20:16

- **Original URL:** <https://www.alberta.ca/datacentres/big-tech>
- **Research Category:** Ontario MPAC Shell vs. Contents & Canadian Taxation
- **Archival File:** 123_www_alberta_ca_datacentres_big-tech.pdf
- **Extraction Status:** Full Web Transcript PDF

Source Content

Is Alberta selling out to big tech? Selling out would mean giving something away: your money, your resources, or your say. Check each one. Not a dollar of public money goes to these projects. The resources stay owned by Albertans, and royalties flow when they are used. The say stays local, and councils and independent regulators have already said no to projects and made it stick. What Alberta built to attract the world's biggest technology companies is a regulatory framework that is fair, clear and competitive, and a concierge team that helps proponents navigate it without wasted time, because time is money. Alberta welcomes this investment. It just refuses to pay for it, or to give away anything that belongs to Albertans. The Alberta approach Alberta's terms, not theirs No subsidies. No discounted power. No tax holidays. No taxpayer backstop. No exceptions. Companies pay their own way, pay taxes and levies here, and follow the same rules as every other industrial project. Section 1 Follow the money Start with what Alberta pays these companies: nothing. No subsidies, no grants, no discounted electricity, no tax holidays. If a project fails, the loss lands on the investors who funded it, not on you. Alberta also built a levy designed specifically for this industry. Large-scale data centres pay up to 2 per cent on the value of their computing equipment. The levy is fully deductible against corporate income taxes paid in Alberta, minimizing impacts on competitiveness. Other places competed by paying. Some jurisdictions hand data centre developers tax exemptions worth billions of dollars. In one widely reported case, a state's electricity ratepayers are helping to fund the transmission upgrades serving a single company's campus. Alberta refused to compete that way, and the projects came anyway. That tells you what actually attracts this industry: energy, land, a cold climate, a skilled workforce, and rules that do not move after the handshake. Did you know? Large-scale data centres pay a levy of up to 2 per cent on the value of their computing equipment, on top of property taxes and the royalties on the gas they use. The levy is fully deductible against corporate income taxes paid in Alberta. Section 2 Who owns what A data centre company in Alberta owns what any business owns: its buildings and its equipment. Here is what it cannot own. Your water Water is owned by the Crown on behalf of Albertans. Companies receive licences with conditions, licences stand last in line in a shortage, and a licence can be cut off. No investment changes that. The farmland Alberta's Foreign Ownership of Land Regulations restrict foreign-controlled companies from buying or leasing controlled land (land outside of a city, town, new town, village or summer village; land owned by the Crown in right of Alberta; mines and minerals; or lands which have otherwise been excluded by an Order in Council), subject to limited exceptions. Other exceptions require a cabinet-level decision after a formal review of the benefit to Alberta. Data centres are steered to industrial land. The gas Companies buy Alberta natural gas at market prices, and royalties

flow to Albertans when it is produced. More demand for Alberta gas means more royalty revenue for the province. The grid Alberta's transmission system remains regulated and independent. Companies pay to use it, at full freight, like every other large customer. Section 3 Who can say no No single company, and no single politician, can push a data centre through in Alberta. The approvals sit at separate, independent desks, and each one can stop a project on its own. This is not theoretical. Municipal councils control zoning: when Rocky View County voted no to the Area Structure Plan and land use re-designation for a proposed 1,100-acre data centre campus with potential on-site power generation in September 2025, the project did not proceed there. Independent regulators enforce their own standards: in March 2026, the Alberta Utilities Commission closed a data centre power plant application that failed to meet its filing requirements, and the company had to start again properly. And Alberta's grid operator has held the line on connections: companies asked to plug in far more data centre load than the grid could safely take on at once, so the operator set a firm first-stage limit of 1,200 megawatts, and everything beyond it waits its turn. Size does not buy a yes in Alberta. Did you know? A data centre project in Alberta needs a yes from the local council, the utilities commission, the environmental regulator, the water regulator and the grid operator. Any one of them can stop it. Several already have. Section 4 Who captures the value When a global company builds here, Alberta captures the value of the gas, the electricity, and everything built to produce and deliver them: new power plants, new pipelines, new fibre routes, new supply chains, and thousands of construction and operations jobs. Municipalities collect property taxes for decades. The province collects the levy, corporate taxes and royalties. The company keeps the profit on the intelligence it produces, because it paid 100 per cent of the costs and carries 100 per cent of the risk. And the infrastructure cannot leave. Every power plant, fibre route and trained crew stays in Alberta, and each one makes the next project cheaper to build. The first wave, built entirely on private money, proves that gigawatt-scale AI infrastructure can be built here, and it hands Alberta's own companies, investors and innovators a proven roadmap. Remember the value chain: about \$2 of Alberta natural gas becomes roughly \$2,100 of computing and intelligence. When local players follow that roadmap and build their own projects, every layer of that value, including the intelligence margins that global companies keep today, lands with Alberta businesses, Alberta investors and Alberta taxpayers. More information+ Foreign ownership of land. The Foreign Ownership of Land Regulations, under the Agricultural and Recreational Land Ownership Act, restrict foreign citizens and foreign-controlled corporations from acquiring controlled land in Alberta, with some exceptions set out in legislation or granted by Order in Council following a formal review. Albertans as owners. Ownership by Albertans is already emerging: the Alberta Indigenous Opportunities Corporation backs Indigenous communities taking equity stakes in major projects, and Indigenous-led data centre developments are underway. Indigenous partnership Learn more: Foreign Ownership of Land Regulations · Alberta Indigenous Opportunities Corporation · Municipal Government Act, Part 17 · Alberta's AI Data Centre Strategy. Is a project proposed near you? You have the right to be heard, and Alberta makes it easy to learn how.